



GOVERNMENT OF KHYBER PAKHTUNKHWA
AGRICULTURE DEPARTMENT



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SUMMARY FOR THE CHIEF MINISTER

Subject SUBSIDY ON SEED AND FERTILIZERS UNDER KHYBER PAKHTUNKHWA FOOD SECURITY SUPPORT PROJECT

The Khyber Pakhtunkhwa Food Security Support Project (KP-FSSP), jointly financed by the Asian Development Bank and the Government of Khyber Pakhtunkhwa, was approved under ADP 2023–24 to enhance agricultural resilience and food security in seven flood-affected districts. The project promotes climate-smart practices, institutional strengthening, and the adoption of certified, climate-resilient crops.

2. Under the component “Increased adoption of climate-smart and resilient agricultural production practices by flood-affected farming communities,” certified seed and DAP fertilizer are being provided through an e-subsidy mechanism. For which, a cost-sharing model of 33:67 (project:farmers) has already been devised in the PC-1.

3. However, the existing 33:67 cost-sharing model is anticipated to be ineffective, as rising market prices of certified seed and fertilizers along with transportation costs, taxation, and delays in availability could make the subsidized inputs even more expensive than open market alternatives, defeating the core purpose of the subsidy. This raises serious concerns that farmers may continue using low-quality, home-saved seed or reduce fertilizer application significantly, which would directly undermine the program’s goals of enhancing agricultural productivity, achieving food self-sufficiency, and promoting climate resilience. If not addressed, the model may fail to support vulnerable farmers, risk low adoption rates, lead to wastage of public resources, and potentially damage the credibility of the program.

4. It is pertinent to mention that shifting from home-saved to certified seed, when coupled with recommended fertilizer (e.g., DAP), can increase wheat yields by 10–20%, thereby improving household income and reducing dependency on food imports. A revised subsidy model, either 80:20 or 100% subsidy, would serve as an effective enabler, allowing smallholder and disaster-affected farmers to access high-quality inputs. This adjustment aligns with the project's core objectives and global best practices in post-disaster recovery and agricultural transformation.

5. It is worth mention to clarify that the proposed increase in subsidy share will not require any change in the total financial allocation of the project; instead, it will be managed by reducing the number of beneficiaries as per merit and recommended procedures, ensuring effective utilization of available resources. Therefore, the following two options are placed for consideration:

Options-1: 100% Subsidy by project

Options-2: 80:20 (Project:Farmer) share model

6. Approval of the Hon’ble Chief Minister is kindly solicited for placement of the proposal in para-5/S before the Provincial Cabinet for consideration and approval of either option as deemed appropriate.



(DR AMBER ALI KHAN)
SECRETARY AGRICULTURE
02-09-2025

ADVISOR TO CM - AGRICULTURE

7. As the input cost of fertilizer and certified seed cannot be afforded by farmers, so the subsidy option 1 of para-5 may be approved to ensure provision of standard seed variety for better growth in flood affected areas. It will also add towards financial support to the farmers in flood affected areas. The donor has no objection if the Hon'ble Chief Minister may approve 100% subsidy.



(MUHAMMAD SAJJAD BARAKWAL)
ADVISOR TO CM AGRICULTURE
09-09-2025

SECRETARY - FINANCE

8. Being core activity of the project, P&D Department may first examine the proposals contained in Para-5 of the summary in light of recommendations of the project steering committee.



(MUHAMMAD ASIF)
SECRETARY FINANCE
16-09-2025

ADDITIONAL CHIEF SECRETARY - PLANNING & DEVELOPMENT

9. **(Reference Paras 1-6/S)**

Summary has been examined. The "230058-Khyber Pakhtunkhwa Food Security Support Project" is being implemented in 07 flood affected Districts (D.I.Khan, Peshawar, Charsadda, Nowshera, Swat, Malakand and Upper Dir) with the assistance of the Asian Development Bank (ADB) with the aims to improve agriculture resilience and food security by promoting climate-smart practices and enhancing Institutional resilience to prepare for climate induced disasters. The Project was approved by ECNEC on 11th December, 2023 at a total cost of Rs. 25,125.824 million (ADB share: Rs. 23,698.220 million, GoKP Share: Rs. 1,427.604 million) for a period of 5 years (2022-23 to 2027-28).

10. It is worth mentioning here that the subsidy share has been defined in the approved PC-1 of the scheme. Since, the subsidy of 33:67 (Farmers: Project) on seed & fertilizer is in the approved scope of the PC-I, therefore, any kind of change in targets or modalities will require revision of PC-1 from the relevant competent forum. Furthermore before proposing any revision of the PC-1, Agriculture department and Project Management may

carryout the economic analysis of its proposal in terms of its benefits and cost, as it entails financial implications for the Provincial government.

11. Finance department may add its views enroute, please.



(IKRAM ULLAH)
ADDITIONAL CHIEF SECRETARY
PLANNING & DEVELOPMENT
02-10-2025

CHIEF SECRETARY GOVT OF KHYBER PAKHTUNKHWA

12. Add views please.



(SHAHAB ALI SHAH)
CHIEF SECRETARY GOVT OF KHYBER
PAKHTUNKHWA
04-10-2025

SECRETARY - FINANCE

13. Summary has been examined. Finance Department endorses the views of Planning & Development Department contained at Para-09-10 of the Summary.



(AMER SULTAN TAREEN)
SECRETARY FINANCE
17-10-2025

CHIEF SECRETARY GOVT OF KHYBER PAKHTUNKHWA

14. Please respond to the observations of P&D department contained at para 9-10.



(SHAHAB ALI SHAH)
CHIEF SECRETARY GOVT OF KHYBER
PAKHTUNKHWA
22-10-2025

SECRETARY - AGRICULTURE

15. P&DD and Finance Department, KP are not agreed with the proposal of KP FSSP regarding change in ratio of 33:66 cost sharing from Chief Minister, KP. They have requested to submit the scheme for revision.

If agreed, we may inform PD KP-FSSP accordingly, please.

16. Para 15/N is submitted for perusal and approval, please

PSCM.CMSECT - CM SECRETARIAT - 23-07-2026